

Multiple Choice

1. **Answer:** D

Options: A) The a, b, and c coefficients significant; B) The a and c coefficients significant; C) The a, b, and d coefficients significant; D) The b and d coefficients significant; E) The a, d, and c coefficients significant

Note: Correct option: D - The b and d coefficients significant

2. **Answer:** A

Options: A) operates in an industry with easy entry and exit; B) will charge the highest price it can on the demand curve; C) will always make a profit in the short run; D) can increase its profit by increasing its output; E) faces a perfectly elastic demand curve

Note: Correct option: A - operates in an industry with easy entry and exit

3. **Answer:** A

Options: A) low levels of income relative to other nations.; B) a decrease in the country's production.; C) foreigners having no taste for this country's products.; D) a loose monetary policy.; E) high levels of income relative to other nations.

Note: Correct option: A - low levels of income relative to other nations.

4. **Answer:** A

Options: A) Corn would become a luxury good due to the price ceiling.; B) The government would have to subsidize corn production.; C) The price of corn would increase dramatically.; D) The price of corn would remain the same but the quality would decrease.; E) The producers of corn would lose revenue due to the decreased price.

Note: Correct option: A - Corn would become a luxury good due to the price ceiling.

5. **Answer:** A

Options: A) monopoly output being less than the competitive output.; B) setting the price below average total cost.; C) short-run abnormal profits.; D) monopoly output being greater than the competitive output.; E) long-run abnormal profits.

Note: Correct option: A - monopoly output being less than the competitive output.

True / False

6. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: ' $P = ATC > MR = MC$ '.

7. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

8. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'Purchasing power decreases and less goods can be purchased with the same amount of money.'

9. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

10. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

Long Form Response

11. **Answer:** The institution of communal property. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

12. **Answer:** The equilibrium price level increases while the equilibrium quantity of output decreases.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key